Investment Policy Statement (IPS)

SPF IRA — Rollover IRA

Comprehensive Portfolio Governance Framework

Document Control	
Version	3.0
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Data As Of	January 7, 2026 (Fidelity Portfolio Positions Report)
Account	Rollover IRA — Fidelity Account ending 9179
Portfolio Value	$231,927.29
Next Scheduled Review	April 2026 (Quarterly) / January 2027 (Annual)

Revision History

Version	Date	Changes
1.0	Feb 12, 2026	Initial IPS creation. Three-layer structure with example holdings.
2.0	Feb 13, 2026	Five-layer architecture. Full portfolio classification. Thesis documentation. Buy-and-hold philosophy formalized.
3.0	Feb 13, 2026	Jan 7, 2026 Fidelity data ($231,927). BHP/RIO legacy executive theses. Woodside history. Semi-retired glide path. DRIP confirmed. 2026 contribution plan (3 tranches, Feb/Mar). Trade lot detail. Version control.

I. Executive Summary

Purpose

The SPF IRA Investment Policy Statement (IPS) establishes the governing philosophy, allocation structure, risk controls, and review discipline for the portfolio. It ensures investment decisions are made systematically and the portfolio evolves deliberately as financial circumstances change.

This IPS governs the complete portfolio. Every holding is classified within a defined structural layer and subject to the governance rules of that layer. No position exists outside the IPS framework.

The IPS serves four primary objectives:

1. Preserve strategic clarity across market cycles.
2. Maintain disciplined allocation targets across all portfolio layers.
3. Define concentration and valuation guardrails for every position.
4. Provide a repeatable governance process applicable to this and future accounts.

This portfolio is managed as a long-term capital compounding vehicle, not as a trading account. All position entries are made with the intent to hold for the long term. Selling occurs only due to significantly changed circumstances, not due to price movement alone.

Investment Intent

The SPF IRA operates under a clear invest-don't-trade philosophy:

- Every buy decision is made with long-term holding intent. Positions are built through personal research with the expectation of multi-year (or indefinite) ownership.
- Selling is reserved for thesis impairment or significantly changed circumstances — not for short-term performance, market timing, or cosmetic rebalancing.
- Position building is gradual. Most holdings are accumulated over multiple purchases via disciplined capital deployment.
- Dividend reinvestment (DRIP) is active across all eligible holdings. Dividends and distributions are automatically reinvested in the distributing security.
- Individual stock positions are derived entirely from personal research conducted independently of any advisor relationship.
- Certain legacy holdings (BHP, RIO) reflect professional history as a former senior executive at both companies and are held with sentimental as well as investment value.

Strategic Structure

The SPF IRA is built around five structural layers. As of January 7, 2026, the portfolio is valued at $231,927 with total unrealized gains of $102,099 (+80.9%):

1. Core Compounders (Layer A) – Six high-conviction anchor holdings: BRK/B, LRCX, CHKP, BUD, GSL, ARCB. 46.6% of portfolio.

2. Secondary Compounders (Layer B) – Seven research-driven positions including legacy executive holdings: RIO, BHP, ETN, CTVA, DKS, GASS, TOST. 9.3% of portfolio.

3. ETF Spine (Layer C) – Eight diversified ETFs: SPHQ, VONG, SCHD, VIGI, EFG, SCHY, VYM, SMH. 36.2% of portfolio. Primary recipient of new contributions.

4. Research Satellites (Layer D) – Three smaller thesis-driven positions: NG, SIG, VTRLY. 4.0% of portfolio.

5. Liquidity Buffer (Layer E) – SGOV, FDRXX, FDIC sweep cash. 3.8% of portfolio.

Current long-term target structure:

- Core Compounders: 40–50%
- Secondary Compounders: 6–12%
- ETF Spine: 28–38%
- Research Satellites: 2–6%
- Liquidity: 2–5%

Risk Philosophy

The largest structural risk is concentration in BRK/B at ~32%. This is accepted by design within defined limits and monitored regularly.

The portfolio owner is semi-retired with consulting income sufficient to cover living expenses without drawing from retirement accounts or Social Security. This extends the effective investment time horizon and supports the buy-and-hold approach through market cycles. Short-term volatility does not constitute strategic failure.

II. Investment Philosophy

The SPF IRA follows six governing principles:

1. Quality over speculation
2. Concentration by design, not by accident
3. Buy and hold — invest, don’t trade
4. ETF spine for structural balance
5. Contribution-driven rebalancing over forced selling
6. Documented governance to prevent behavioral drift

The portfolio intentionally blends concentrated compounders with diversified factor exposure and actively researched individual positions. All individual stock positions originate from personal research conducted independently. A subset of holdings (BHP, RIO) carry additional significance as legacy positions from time as a senior executive at both companies. While governed under the same framework, their sentimental value and deep institutional knowledge inform the thesis and holding conviction.

III. Portfolio Architecture

Every holding is classified below with its investment thesis, acquisition history, current position data, and governance parameters. All data as of January 7, 2026.

Layer A: Core Compounders

High-conviction anchor holdings with established compounding track records. These are the portfolio’s primary return drivers. Concentration is intentional and governed.

Ticker	Value	% Acct	Shares	Avg Cost	Cost Basis	Gain $	Gain %	Target
BRK/B	$74,186	31.99%	150	$56.12	$8,418	+$65,768	+781%	25–35%
LRCX	$14,363	6.19%	71.24	$49.14	$3,500	+$10,863	+310%	4–8%
CHKP	$6,657	2.87%	35	$141.77	$4,962	+$1,695	+34%	2–4%
BUD	$6,474	2.79%	102.0	$62.35	$6,359	+$115	+2%	2–4%
ARCB	$3,480	1.50%	41.57	$75.24	$3,128	+$353	+11%	1–2%
GSL	$3,011	1.30%	84.35	$19.23	$1,622	+$1,389	+86%	1–2%
TOTAL	**$108,171**	**46.64%**			**$27,989**	**+$80,182**		**40–50%**

BRK/B — Berkshire Hathaway (Class B)

Role: Capital allocation anchor and diversified operating engine. Portfolio's longest-held and highest-conviction position.

Thesis: Exceptional long-term compounding through Berkshire's decentralized conglomerate model, insurance float advantage, massive cash reserves, and management succession (Greg Abel). Built-in sector diversification across insurance, energy, railroad, manufacturing, and equity portfolio.

Acquisition: Three tranches: Jan 3, 2002 (50 shares @ $50.32), May 13, 2004 (50 @ $57.78), Jul 14, 2006 (50 @ $60.26). Average cost $56.12.

Status: 150 shares, $74,186 (+781%, +$65,768). 32.0% of portfolio. Compounded at ~9.5% annually over 24 years.

Holding intent: Indefinite. Permanent holding absent extraordinary circumstances.

LRCX — Lam Research

Role: Semiconductor capital equipment growth compounder.

Thesis: Structural growth from advanced node transitions, rising etch/deposition intensity, memory recovery, and AI-driven fab demand. Toll-booth on semiconductor manufacturing expansion.

Acquisition: Founded Apr 20, 2022 (70 shares @ $48.14, $3,370). Seven subsequent DRIP additions through Jan 2026 adding 1.24 shares. Founding lot = 98% of shares.

Status: 71.24 shares, $14,363 (+310%, +$10,863). 6.2% of portfolio.

Holding intent: Long-term. Multi-decade semiconductor capex story.

CHKP — Check Point Software Technologies

Role: Cybersecurity compounder with defensive characteristics.

Thesis: Essential enterprise cybersecurity with high recurring revenue, strong margins, consolidated Infinity platform. Durable demand regardless of cycle.

Acquisition: Apr 11, 2022 (25 shares @ $140.29) + Dec 14, 2023 (10 shares @ $145.48). Average cost $141.77.

Status: 35 shares, $6,657 (+34%, +$1,695). 2.9% of portfolio.

Holding intent: Long-term. Non-discretionary cybersecurity spend.

BUD — Anheuser-Busch InBev

Role: Global consumer staples compounder and portfolio diversifier.

Thesis: Near-monopoly global beer portfolio. EM volume growth, premium brand pricing power, structural diversification vs. U.S. tech concentration. Active DRIP compounding share count.

Acquisition: Founded Nov 22, 2023 (100 shares @ $62.27, $6,227). Three DRIP additions adding ~2 shares. Average cost $62.35.

Status: 102.0 shares, $6,474 (+2%, +$115). 2.8% of portfolio.

Holding intent: Long-term. Consumer staples with dividend compounding.

ARCB — ArcBest Corporation

Role: LTL freight and logistics cyclical compounder.

Thesis: Dual thesis: cyclical recovery from 2023–2025 freight recession + structural LTL market share consolidation post-Yellow Corp bankruptcy. Asset-light/asset-based hybrid provides operating leverage through the cycle.

Acquisition: 11 purchase lots from Aug 2023 through Nov 2025, demonstrating committed DCA through the freight downturn. Includes founding lot (~40 shares) plus 10 smaller DCA/DRIP additions at declining prices ($140 down to $62). Average cost $75.24.

Status: 41.57 shares, $3,480 (+11%, +$353). 1.5% of portfolio. Patience position.

Holding intent: Long-term through the freight cycle. Historical troughs are 2–3 years.

GSL — Global Ship Lease

Role: Container shipping fleet operator and dividend compounder.

Thesis: Contracted charter revenue, fleet asset value, high dividend yield (~7%). DRIP has increased share count 20% since founding.

Acquisition: Founded Nov 28, 2023 (70 shares @ $17.89, $1,253 post-split). 10 subsequent DRIP additions through Dec 2025. Average cost $19.23.

Status: 84.35 shares, $3,011 (+86%, +$1,389). 1.3% of portfolio.

Holding intent: Long-term. Dividend reinvestment is the primary compounding mechanism.

Combined Layer A: $108,171 (46.64%) — Target: 40–50%. Status: In range.

Layer B: Secondary Compounders

Research-driven positions at moderate size. Includes two legacy holdings (RIO, BHP) from the portfolio owner's career as a former senior executive at both companies.

Ticker	Value	% Acct	Shares	Avg Cost	Cost Basis	Gain $	Gain %	Max
RIO	$4,778	2.06%	56.51	$67.03	$3,788	+$990	+26%	4%
BHP	$3,488	1.50%	54.67	$59.91	$3,275	+$213	+6%	4%
ETN	$3,247	1.40%	10.03	$359.44	$3,606	–$359	–10%	4%
DKS	$3,224	1.39%	15.09	$178.56	$2,694	+$530	+20%	3%
CTVA	$2,815	1.21%	41.07	$45.70	$1,877	+$938	+50%	3%
GASS	$2,256	0.97%	300	$5.72	$1,715	+$542	+32%	2%
TOST	$1,820	0.78%	50	$14.66	$733	+$1,087	+148%	2%
TOTAL	**$21,628**	**9.33%**			**$17,688**	**+$3,940**		**6–12%**

RIO — Rio Tinto (ADR)

Role: Legacy executive holding and diversified mining exposure.

Thesis: The portfolio owner is a retired former senior executive of Rio Tinto. This position carries both investment merit and sentimental significance reflecting decades of professional history. Investment fundamentals: energy transition metals (copper, lithium, aluminum), strong dividend discipline (~4.6% yield), geographic diversifier. The portfolio owner's firsthand knowledge of Rio Tinto's operations, culture, and Tier 1 asset base provides unique insight.

Acquisition: Built since 2024 via DCA. Average cost $67.03. The owner's deep institutional knowledge informs timing and conviction.

Status: 56.51 shares, $4,778 (+26%, +$990). 2.1% of portfolio.

Holding intent: Indefinite. Legacy hold with investment merit.

BHP — BHP Group (ADR)

Role: Legacy executive holding and broad commodity exposure.

Thesis: The portfolio owner is a retired former senior executive of BHP Group. Like RIO, this reflects both investment conviction and personal significance. Fundamentals: broad commodity exposure (iron ore, copper, nickel, potash, coal), dividend income (~3.6% yield), geographic diversifier. BHP's 2022 petroleum division merger with Woodside Energy sharpened its metals/mining focus.

Acquisition: Founded Nov 16, 2023 (50 shares @ $60.27, $3,014). Four subsequent DRIP additions. Average cost $59.91.

Status: 54.67 shares, $3,488 (+6%, +$213). 1.5% of portfolio.

Holding intent: Indefinite. Legacy hold. Combined RIO + BHP = 3.56% balanced mining exposure through companies the owner knows from decades of executive experience. BHP completed its petroleum merger with Woodside in June 2022. Received and held WDS shares but exited in 2025 as the petroleum thesis diverged from the core metals/mining rationale.

ETN — Eaton Corporation

Thesis: Electrification and power management. Grid modernization, data center power, EV infrastructure.

Acquisition: Aug 11, 2025 (10 shares @ $359.51) + Nov 2025 DRIP. Average cost $359.44.

Status: 10.03 shares, $3,247 (–10%, –$359). Most underwater position. Early-stage.

CTVA — Corteva Agriscience

Thesis: Food security, seed technology, crop protection innovation. Pure-play ag science.

Acquisition: Founded Dec 11, 2023 (40 shares @ $45.30). Multiple DCA/DRIP additions through Dec 2025. Average cost $45.70.

Status: 41.07 shares, $2,815 (+50%, +$938). 1.2% of portfolio.

DKS — Dick's Sporting Goods

Thesis: Dominant specialty athletic retailer. House of Sport experiential strategy. Secular fitness trend. Dividend growth.

Acquisition: Jun 16, 2025 (15 shares @ $178.38) + Dec 2025 DRIP. Average cost $178.56.

Status: 15.09 shares, $3,224 (+20%, +$530). 1.4% of portfolio.

GASS — StealthGas

Thesis: Niche small LPG carrier fleet. Vessel replacement value. Shipping cycle upside. Limited analyst coverage.

Acquisition: Feb 27, 2025 (300 shares @ $5.71, $1,715). Single lot.

Status: 300 shares, $2,256 (+32%, +$542). 1.0% of portfolio.

TOST — Toast, Inc.

Thesis: Restaurant SaaS platform. High switching costs. Expanding ARPU via payments/financial services. Purchased during post-IPO washout.

Acquisition: Nov 28, 2023 (50 shares @ $14.66, $733). Single lot at deep discount.

Status: 50 shares, $1,820 (+148%, +$1,087). Nearly 2.5x from entry.

Combined Layer B: $21,628 (9.33%) — Target: 6–12%. Status: In range.

Commodity pairing: RIO + BHP combined 3.56% (soft cap: 5%).

Shipping/logistics: GSL + GASS + ARCB combined 3.77% (soft cap: 6%).

Layer C: ETF Spine

Diversified, rules-based exposure providing factor balance, risk dampening, and rebalancing flexibility. Primary recipient of new contributions. All ETFs have DRIP active.

Ticker	Value	% Acct	Shares	Avg Cost	Cost Basis	Gain $	Gain %	Target
VONG	$22,050	9.51%	178.53	$92.29	$16,476	+$5,574	+34%	8–12%
SPHQ	$20,685	8.92%	269.23	$62.92	$16,941	+$3,744	+22%	8–12%
SCHD	$14,840	6.40%	529.61	$25.67	$13,598	+$1,242	+9%	5–8%
VIGI	$7,292	3.14%	78.51	$75.48	$5,926	+$1,367	+23%	2–4%
EFG	$6,061	2.61%	51.30	$103.47	$5,308	+$752	+14%	2–4%
SCHY	$4,651	2.01%	154.94	$25.31	$3,922	+$728	+19%	1–3%
VYM	$4,458	1.92%	30.58	$127.08	$3,886	+$572	+15%	1–3%
SMH	$3,859	1.66%	10	$338.83	$3,388	+$471	+14%	1–2%
TOTAL	**$83,896**	**36.17%**			**$69,446**	**+$14,450**		**28–38%**

ETF roles:

SPHQ (quality growth), VONG (U.S. growth), SCHD (dividend growth ballast), VIGI (intl dividend growth), EFG (intl developed growth), SCHY (intl dividend income), VYM (high-dividend U.S.), SMH (semiconductor sector, complements LRCX).

International sub-sleeve: VIGI + SCHY + EFG = 7.76% (target: 5–10%).

Semiconductor ecosystem: LRCX + SMH = 7.85% direct (soft cap: 15–20%).

Layer D: Research Satellites

Smaller thesis-driven positions. Must remain small and not distort factor balance.

Ticker	Value	% Acct	Shares	Avg Cost	Cost Basis	Gain $	Gain %	Max
NG	$4,888	2.11%	500	$3.00	$1,500	+$3,388	+226%	3%
SIG	$2,354	1.02%	25.74	$78.53	$2,021	+$333	+16%	2%
VTRLY	$2,138	0.92%	150	$15.50	$2,325	–$187	–8%	2%
TOTAL	**$9,380**	**4.04%**			**$5,845**	**+$3,535**		**2–6%**

NG — NovaGold

Gold / Donlin Gold optionality, 500 shares @ $3.00 (Feb 2025). +226%. Extremely low cost basis = high optionality.

SIG — Signet Jewelers

Jewelry market consolidation. Founded Mar 2022 (25 shares @ $78.46). DRIP additions. Mixed performance.

VTRLY — Vitrolife

IVF/reproductive technology. 150 shares @ $15.50 (Dec 2025). Brand new. Down 8%.

Combined Layer D: $9,380 (4.04%) — Target: 2–6%. Status: In range.

Layer E: Liquidity Buffer

Asset	Value	% Acct	Role
SGOV	$5,179	2.23%	Short-duration Treasury ETF. 51.56 shares @ $100.59 avg.
FDRXX	$3,103	1.34%	Fidelity Government Cash Reserves money market.
CORE (FDIC Sweep)	$571	0.25%	FDIC bank deposit sweep cash.
TOTAL	**$8,853**	**3.82%**	Target: 2–5%. Status: In range.

IV. Allocation Targets

Layer	Target	Range	Current	Status
A. Core Compounders	40–50%	35–55%	46.64%	*In range*
B. Secondary Compounders	6–12%	4–15%	9.33%	*In range*
C. ETF Spine	28–38%	22–42%	36.17%	*In range*
D. Research Satellites	2–6%	1–8%	4.04%	*In range*
E. Liquidity	2–5%	1–7%	3.82%	*In range*

All layers within acceptable ranges. Portfolio is ~96% equities, supported by consulting income covering expenses without portfolio withdrawals.

V. Risk Governance

A. Concentration Tolerance

BRK/B may exceed 30% during strong performance. Acceptable if fundamentals intact and stress test survivable.

Stress Test Reference Scenario

- BRK/B –30%, LRCX –30%, Other Layer A –25%, Layer B –20%, ETF Spine –15%
- Estimated portfolio impact: –20% to –24% (–$46,000–$56,000)
- Conclusion: painful but survivable. No forced selling given extended time horizon, consulting income, and ~$2,500–$3,000 annual dividend income.

B. Position Limits

Category	Soft	Hard	Action
BRK/B	30%	38%	Review at 30%. Trim if >38% absent reaffirmation.
LRCX	7%	10%	Review at 7%. Trim if >10%.
Other Layer A (each)	3%	5%	Review at 3%. Trim if >5%.
Layer B (each)	2%	4%	Promote to A or trim if >4%.
Layer D (each)	2%	3%	Trim or promote to B if >3%.

C. Correlation Monitoring

- Semiconductor (LRCX + SMH + overlap): 15–20% cap. Current: ~7.85% direct.
- Mining (RIO + BHP): 5% cap. Current: 3.56%.
- Shipping/Logistics (GSL + GASS + ARCB): 6% cap. Current: 3.77%.

D. Monitoring

Monthly: BRK/B >35%, any Layer A (ex-BRK/B) >4%, any Layer B >3%, ETF Spine <25% or >42%, cash <1% or >7%.

Market alerts: SMH drawdown >15%, any holding drawdown >30%, correlated exposure exceeding caps.

Quarterly: concentration, factor drift, thesis review. Annual: full strategic review, IPS revision.

VI. Rebalancing Policy

1. New contributions first (directed to ETF Spine).
2. DRIP within existing positions (active on all eligible).
3. Opportunistic trimming only if hard thresholds materially breached.
4. No forced selling for cosmetic balance.

2026 IRA Contribution Plan

Maximum: $8,600 (2026 limit).

Deployment: ~$8,500–$9,000 in three approximately equal tranches over 4–5 weeks, February/March 2026.

Allocation (approximate): ~40% SPHQ (~$3,400–$3,600), ~35% SCHD (~$3,000–$3,150), ~25% VONG (~$2,100–$2,250). These are directional targets, not exact dollar amounts. Tranches may vary based on market conditions. The strategy reinforces the ETF Spine without requiring precision.

VII. Holding-Level Governance

A. Thesis Documentation

Every individual stock (Layers A, B, D) has a documented thesis in Section III incorporating trade lot data and investment rationale.

- New positions require documented thesis before purchase
- Existing theses reviewed and refined at annual review

- Sell triggers to be developed going forward; currently: short-term sell only for significantly changed circumstances
- Legacy holdings (RIO, BHP) reviewed with awareness of sentimental and investment significance

B. Dividend Reinvestment

DRIP active across all eligible holdings. Dividends automatically reinvested in the distributing security. This compounds share count, dollar-cost averages, and increases cost basis gradually.

C. Promotion/Demotion Framework

- D → B: thesis durability, willingness to hold 1–3%, consistent accumulation
- B → A: high conviction, demonstrated compounding, would add in drawdown
- Demotion: thesis deterioration or reduced conviction. Does not require immediate selling
- Exit: thesis impairment, significantly changed circumstances, no longer fits architecture

D. New Position Rules

1. Must fit existing layer
2. Documented thesis required
3. Cannot breach layer range
4. Individual stock count cap: 20 (currently 16)
5. Funded from cash/contributions/exit proceeds — not ETF Spine trimming
6. Buy-and-hold intent required

VIII. Valuation Discipline

Valuation is secondary — fundamentals and thesis integrity are primary.

Trim review: Forward P/E >1.5–2.0 SD above 10-year avg; position doubles without earnings revision; narrative shifts to speculation.

Add review: Drawdown >25% without impairment; stable earnings + declining price; cycle trough visible (ARCB, RIO, BHP, GASS, GSL).

IX. Decision Discipline

All material decisions logged: date, action, layer/holding, rationale, risks, expected outcome, time horizon.

Rules written in calm periods are trusted in volatile periods.

X. Portfolio History

2002–2006: Foundation. BRK/B: 3 tranches (Jan 2002, May 2004, Jul 2006) totaling 150 shares at avg $56.12. Now +$65,768 (+781%).

~2020: Self-directed management. Transitioned from advisor management following career as senior executive at Rio Tinto and BHP Group. Individual research commenced.

2022–2023: Position building. LRCX (Apr 2022, 70 shares @ $48), CHKP (Apr 2022), SIG (Mar 2022). Late 2023: GSL (70 shares), BUD (100 shares), BHP (50 shares), TOST (50 shares @ $14.66), CTVA (40 shares). All via DCA/conviction entries.

2024–2025: ETF Spine + refinement. Systematic ETF buildout: SPHQ, SCHD, VONG, VIGI, SCHY, EFG, VYM, SMH. New research: RIO, ETN, DKS, GASS, NG. BHP/Woodside demerger → WDS received → WDS sold 2025. Legacy exits: CPB, PFE, ETSY, ABEV, CMP, WDS, LSEA, MRCHF. VTRLY initiated Dec 2025.

1Q2026: IPS formalized. v1.0–v3.0 governing complete portfolio with five-layer architecture and full thesis documentation.

XI. Strategic Assessment (1Q2026)

Portfolio: $231,927 as of January 7, 2026. 24 holdings across five layers.

Structurally sound. Every position classified and governed.

Concentrated by intent. BRK/B at 32.0% (above 30% soft limit, within 38% hard limit). 24-year compounding position.

Legacy-aware. RIO + BHP reflect executive career. Combined 3.56%.

Income compounding. DRIP active everywhere. ~$2,500–$3,000 annual dividends, all reinvested.

Strong gains. $102,099 unrealized (+80.9%). BRK/B = $65,768 of total gains.

1Q2026 Action Items:

1. Execute 2026 IRA contribution (~$8,500–$9,000), 3 tranches Feb/Mar per Section VI.
2. Document BRK/B soft limit review (32.0% vs 30% soft limit).
3. Confirm semiconductor exposure within 15–20% guideline.
4. Review ARCB freight cycle thesis.
5. Monitor ETN (–10%) for thesis development.
6. Begin developing explicit sell triggers.
7. Schedule Q2 quarterly review (April 2026).

XII. Capital Market Assumptions

Planning anchors, not forecasts.

Asset Class	Return	Vol	Notes
U.S. Quality/Growth	7–9%	16–20%	Earnings growth + multiple cycles
Dividend Equity	6–8%	14–18%	Lower vol, higher income
International Developed	6–8%	17–21%	Currency + macro dispersion
Semiconductor/Cyclical	8–11%	22–30%	Higher cyclicality
Commodity/Mining	5–9%	20–28%	Cyclical; informed by executive experience
Shipping/Logistics	6–12%	22–35%	Fleet value and charter rate driven
Small-Cap/Thematic	7–12%	22–35%	Higher dispersion; thesis-dependent
Cash/Short Duration	2–4%	1–2%	Capital preservation

Drawdown expectations:

Moderate recession –18% to –24%; severe –28% to –38%. Tolerable given time horizon and consulting income.

XIII. Glide Path

The portfolio owner is semi-retired with active consulting income covering living expenses without drawing from retirement accounts or Social Security. This creates an extended accumulation runway.

Current Phase: Financial Independence / Extended Accumulation

Key characteristics:

- No IRA distributions required (until RMD age)
- No Social Security claims active, preserving benefit growth
- Consulting income is variable but sufficient for living expenses
- IRA compounds without withdrawals for an extended period
- Time horizon is effectively indefinite until consulting income declines or lifestyle requires portfolio support

This supports ~96% equities and full DRIP reinvestment. The portfolio does not need to generate income for living expenses.

Transition Trigger

The phase shift is not age-driven but income-driven: consulting wind-down, Social Security claim, or lifestyle change requiring portfolio distributions.

Phase 2: Transition

- Reduce Layer D to 1–2 positions or eliminate
- Consolidate Layer B to strongest 3–4
- Increase ETF Spine to 40–50%
- Grow liquidity to 5–10%
- Reduce BRK/B toward 25% via contribution dilution
- Target 8–10 individual stocks

Phase 3: Distribution

- Sequence risk management primary
- Greater dividend reliance (SCHD, VYM, SCHY)
- Liquidity buffer 10–15%
- BRK/B + ETFs = 80–90%. Minimal individual stocks

XIV. Behavioral Risk

Rules written in calm periods are trusted in volatile periods.

Risk	Mitigation
Performance chasing	New capital to ETF Spine. Predefined targets.
Panic selling	Buy-and-hold philosophy. Stress test. Consulting income removes forced-selling pressure.
Over-concentration	Position limits for every layer. Combined-exposure monitoring.
Over-trading	Quarterly cadence. Invest-don't-trade. DRIP handles reinvestment.
Sentimental bias	Legacy holdings (RIO, BHP) explicitly acknowledged. Same governance framework applies.
Thesis drift	Documented thesis per holding. Promotion/demotion framework. Annual review.
Hindsight bias	Decision log. Trade lot data preserved. Portfolio history documented.

XV. Performance Attribution

Annual evaluation: Did Core Compounders justify concentration? Did individual stocks outperform passive alternatives? Did buy-and-hold prevent destructive selling? Did legacy holdings (RIO, BHP) perform with mining sector? Did results stem from skill, structure, or macro?

XVI. Future Accounts

This IPS is a scalable governance framework applicable to additional self-directed accounts.

- Layer structure and governance rules carry forward
- Holdings and targets may differ by tax status, size, time horizon
- Combined-exposure monitoring spans all accounts

XVII. Document Management

Version Control

This IPS is maintained under explicit version control. Each material revision increments the version number and is logged in the Revision History (page 1).

Review Schedule

- Quarterly: allocation check, threshold review, position flags; minor updates don't increment version
- Annual: comprehensive review — all theses, targets, glide path, structural changes; new version
- Ad hoc: material events (new entries, exits, reclassifications, life changes, market events); new version

Data Sources

- Portfolio positions and lots: Fidelity Portfolio Positions Report
- Performance: Fidelity SPF IRA Performance Report
- Market data: Fidelity pricing at report date
- Theses: trade lot history and portfolio owner's investment rationale

— End of Investment Policy Statement —

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